

FREE CHAPTER - TIP 2

TOP 10 TIPS FOR YOUR TOP 10 CUSTOMERS

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Part 2: Be A Partner, Not A Supplier

Time for a four-square matrix! Not just any four-square matrix! Arguably, the most important four-square matrix in business today! Let me give you a quick conducted tour around the matrix:-

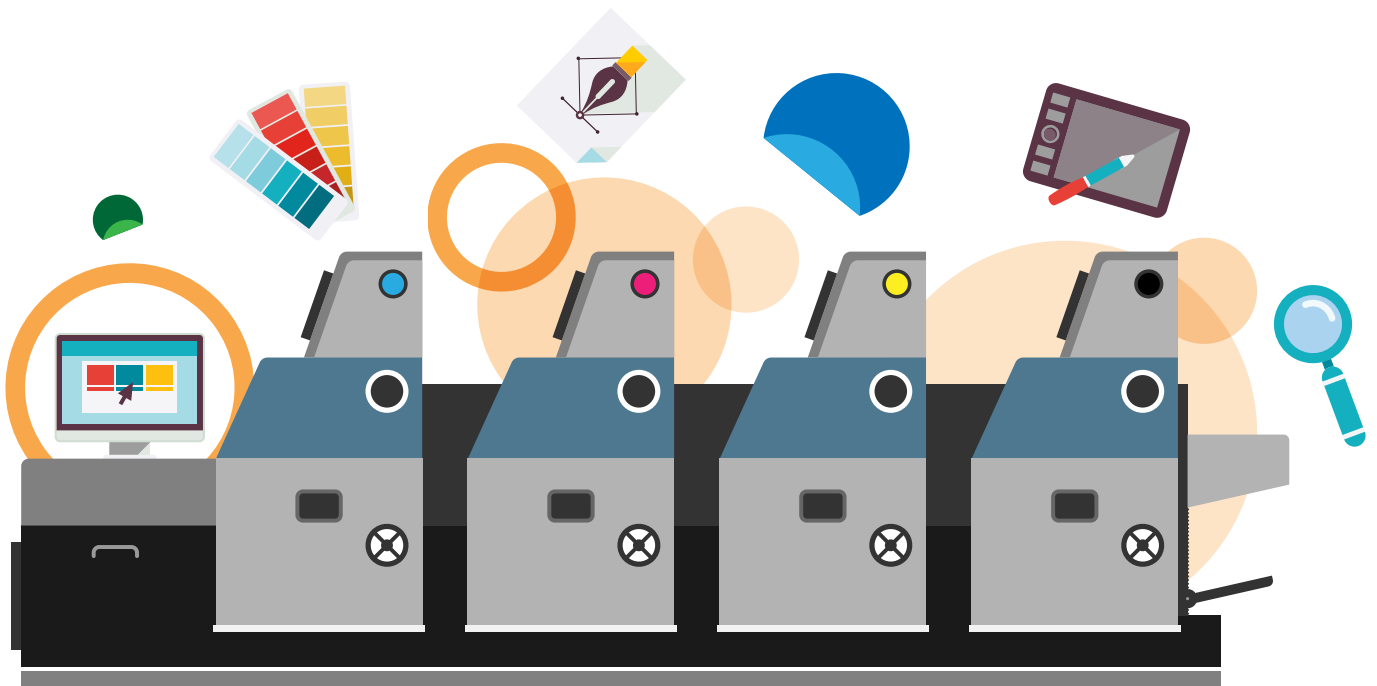


*"A gossip is one who talks to you about others
A bore is someone who talks to you about himself
A brilliant conversationalist is one who talks to you about yourself!"*
Lisa Kirk



CASE STUDY

Alistair's Story



We once worked with a labelling/printing business led by a CEO called Alistair. Upon arrival, he was determined to change the company culture and make it more customer-focused.

Within days he put in place two key strategies:

1) He asked the meaning of life question of “what business are we in?” Not surprisingly, the answer he received was “that’s obvious boss, we are in the printing business”. Alistair pointed out that as 82% of their business came from the vegetable, meat and dairy markets they were not in the printing business at all... they were in the food business!

He explained that he would be removing magazines like “British Printer” and “Printing Monthly” from the reception area and the canteen and replacing them with magazines like “Food and Drink” and “Food Producers Digest”... the sorts of magazines that their customers were reading!

2) He restructured the production floor. Instead of dozens of people and machines trying to be all things to all customers, he created three production lines, each dedicated to a key market. The lads and lasses on the production floor were soon known as the “veggies”, the “beefies” or the “milkies”. Within a matter of months, Alistair started to see a return on his strategies... the whole business was now aligned with the issues, needs and expectations of its customers.

“The customer’s business is YOUR business! Align with their issues, needs and expectations to become an expert in their world”

So we are clearly banging and promoting the “partnership” drum here but how would you know that you are a partner rather than a supplier? What would the “partnership indicators” be? What are the things that you would see, feel or hear that would confirm that you are going in the right direction and enjoying a partnership relationship?

1. **They tell you that you are a partner** because you have asked the question “do you see us as a partner or a supplier?”
2. **There is clear evidence of added value and ROI** i.e. the numbers make sense
3. **You understand their future strategy** because you are genuinely interested in understanding where they are today, where they are going in the future and how they are going to get there (and where you can help along that journey of course)
4. **They give you confidential information**, often starting with the word “I shouldn’t really be telling you this but...” or “keep this under your hat as 95% of our people don’t know what I am about to tell you...”
This No.4 indicator is a great example of trust.
5. **There are no nasty surprises in the relationship.**
Will there be challenges? Yes. Will there be problems? Probably yes. But if things are working well your friends and allies in the account will tip you off, so there will be no nasty surprises.
6. **Strong multi-level relationships.** Key account management is a team sport so the indicator here is that 2-4 people from your company are in contact with 2-4 people from the key account. They should be at different levels. Some should be decision makers and some should be decision influencers.



“As a trusted advisor to their business, your thoughts and input are values by the customer.”

By the way, if your account manager leaves your company and takes the key account customer with them, then clearly this multi-level contact stuff won't have been happening. Your organisation should own the key account, not the account manager.

7. **More sales and profit as time goes by** i.e. you are selling more of the same or the customer is now buying additional products and services from you
8. **They accept your new products and services.** They do this willingly – they don't put you through hoops of fire, as they may have done when you first came on board. Maybe they say something like "OK, if you are saying that we would get some value from this new product of yours we will give it a go. We trust your judgement so let's see how it performs during the next six months."
9. **Price resistance drops, over time.** This issue may never disappear completely but ideally all matters "price" should be less of an issue than it once was in view of the value they have been experiencing.
10. **They ask for advice, not just on your core offering.** They value your thoughts and input as they now see you as a consultant to their business. Often it is as simple as "We are thinking of changing our structure to improve productivity... any thoughts?"
11. **You have a rolling agreement, not a fixed-term contract.** You might view a fixed-term contract as being more favourable than ad-hoc business but fixed-term contracts are what suppliers get. Partners are treated differently. Imagine a three year contract has been secured and twelve months have passed. Having asked the customer a number of questions to establish just how satisfied they are with your company you might be able to roll the contract back up to three years (providing they are delighted of course).



Rolling contracts are also a great deterrent to your competitors. Every time they check their diaries and think of approaching your key account, they don't get past Reception as they are told "Sorry, we have a three year contract with another company... and we are delighted with the service we receive!"



12. **Reverse hospitality i.e. they pay!** Many companies "buy business" with lavish corporate hospitality but this is quite different. This is the customer saying "Would you and you partner like to come to the tennis?"
13. **They invite you to shape the tender** – this is a great opportunity for you to add value and, probably, a blind eye will be turned when you include your unique products or processes in the tender.
14. **Joint actions are in place.** At the end of a routine meeting, the customer has probably made some notes and likewise with your account manager. But this is your account manager going up a gear and proactively managing the relationship (and saving them time and effort in the process). Maybe it would sound something like "Thanks, Chris, I've really enjoyed the meeting. I will get the joint action plan drawn up and emailed back to you later today. It will cover the four action points I'm going to look at and the couple of points you said you would look into."

At the next meeting, you might find that someone attends that missed the first meeting. They are going to love you when you say “Nice to meet you Frank. Here is a hard copy of the action plan following my meeting with Chris a couple of weeks ago.” Great value!

- 15. They give you referrals.** This is the sound of more “trust doors” being oiled and opened for your organisation. Clearly the customer feels happy introducing you to another team/division/sister company or whatever. Digital marketing experts tell us that in the future customers will source the companies they want to work with in one of two ways – they will either “Google it” or be guided by personal recommendations... which is exactly what a referral suggests.
- 16. Case studies and testimonials.** The happy customer agrees to feature in a piece of your marketing and “tells the story” and the benefits of working with you etc.
- 17. Logos appear side by side** – maybe on the customer’s website and marketing materials – or yours
- 18. Tolerance in the event of a problem** i.e. they do not “lose it” and become angry and animated. They might say “OK, we are not happy, as you know, but we know that you will be working round the clock to resolve this. Let us know how we can help.”
- 19. Feedback is welcomed and dealt with openly.** One of the great indicators of a mature, adult, effective partnership is that both sides can talk openly and honestly, without anyone “taking their bat home.” Culturally, everyone signs up to the belief that “there is no such thing as bad feedback and that any feedback is a source for learning and improvement.”
- 20. They bend the rules to accommodate you.** An example of this might be something like the duration of the contract. Although the terms of the contract suggest that it is up for renewal on an annual basis the customer might say something like “I’ve been thinking... bearing in mind the tremendous amount of work that you and your colleagues have put into this, we are going to let the contract run for another year.”



Not surprisingly, there are loads more!

Here are the first 20 key partnership indicators being used as a checklist. You will notice that the key account in question scores 13 out of 20 today.

If, in three months time, the score has risen to 15 or 16 out of 20 then that, as far as we are concerned, would be simple, measurable, all on one page/screen progress that can be shared across the organisation.

“There is no such thing as bad feedback. Any feedback is a source for learning and improvement.”



Back to Alistair (remember him?) for his third strategy:-

3. He didn't have a "top ten" key accounts – he had a top five. So every three months, at the company's quarterly team briefing in the canteen, he created a great KPI by adding together the partnership indicator scores for the top five key accounts.

"Just so you know, the partnership indicator score for our top five customers has risen from 68 out of 100 to 81 out of 100. Well done everyone – that is a great result and I am now going to hand over to Brian who will talk for five minutes on how we have, collectively, managed to achieve this."

But the twenty partnership indicators featured on the checklist example may not be right for your company. The important thing is to build a list of partnership indicators that are right for you.

HEALTH CHECK QUESTIONS:

1	Today, how many of your key accounts see you as a partner?
2	Which twenty partnership indicators are right for you?
3	In the future, which key accounts would you like to see move to "partner" status?
4	Which key accounts want to keep you as a supplier and how do you feel about that?
5	Is it time to "manage out" some of those accounts who do not want to work in the way that you want them to?

CONCLUSIONS:

- When key account managers work as partners they understand that their job revolves around a very simple job description... "improving own profitability and performance by improving the customer's profitability and performance."
- If you work as a partner you understand that you are in the financial services business with a black and white goal – putting some black and white on the bottom line
- If you are an expert in the customer's world, you never have to sell again. Doors just keep opening as a result of the great work that you are doing and the great value you are adding
- Strategically, if your business is in the top right quadrant and your competitors are in the other three, that is the safest, most profitable, happiest place to be. For some of your competitors that will be "game over"... if you can maintain your position.

more resources available at:
www.kamguru.com

